

----- Forwarded by Steven J Kean/NA/Enron on 02/28/2001 02:07 PM -----

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cc:
Subject: Transmission value and first mortgage debt

The proposed purchase of the PGE and SCE's transmission grids have vastly different short term liquidity effects for PGE and SCE. If the current proposal is at 2.3x book, and assuming the first mortgage bond holders want complete repayment in return for releasing their liens, the numbers (at 12-99) fall out:

in millions PGE SCE

Book Value 1.43 1.90

Multiple of Book 2.3x 2.3x

Cash Price \$3.29 \$4.37

-First Mortgage Bonds \$3.35 \$1.18

Resulting liquidity (\$0.06) \$3.19

Note that the first mortgage holders may release their liens in return for partial payment based on remaining value. Nonetheless, PGE's situation is not as flexible.